KAPCHORUA TEA COMPANY LIMITED
AUDITED RESULTS FOR THE 12 MONTHS ENDED 31 MARCH 2012

STATEMENT OF COMPREHENSIVE INCOME

	31.03.2012	31.03.2011
	Kshs'000	Kshs'000
Turnover	1,406,794	1,246,636
Profit from operations before biological assets valuation	99,063	80,788
Increase in fair value of biological assets	6,154	176,434
Finance costs	7,359	11,171
Profit before taxation	112,576	268,393
Tax charge	(34,608)	(81,388)
Profit for the year	**77,968**	**187,005**
Comprising:		
Profit arising from operating activities	73,660	63,501
Profit arising from changes in fair value of biological assets	4,308	123,504
	77,968	**187,005**
Issued Shares of Kshs 5 each	3,912,000	3,912,000
Earnings per share (Kshs)	19.93	47.80

STATEMENT OF CHANGES IN EQUITY

	Share Capital	Capital Reserves	Revenue Reserves: Biological Assets gains/(losses)	Revenue Reserves: Other	Revenue Reserves: Total	Total
	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Balance at 1 April 2010	19,560	90,933	270,773	437,466	708,239	818,732
Total comprehensive income for the year			123,504	63,501	187,005	187,005
Excess depreciation transfer		(7,115)	-	7,115	7,115	-
Deferred tax on excess depreciation		2,134	-	(2,135)	(2,135)	-
Dividend paid - 2010			-	(29,340)	(29,340)	(29,340)
Balance at 31 March 2011	**19,560**	**85,952**	**394,277**	**476,608**	**870,884**	**976,397**
Balance at 1 April 2011	19,560	85,952	394,277	476,608	870,884	976,397
Total comprehensive income for the year		108610	4,308	73,660	77,968	186,578
Excess depreciation transfer		(8,865)	-	8,865	8,865	-
Deferred tax on excess depreciation		2,660	-	(2,660)	(2,660)	-
Dividend paid - 2011			-	(29,340)	(29,340)	(29,340)
Balance at 31 March 2012	**19,560**	**188,357**	**398,585**	**527,133**	**925,718**	**1,133,635**

COMMENTARY ON THE RESULTS

The year under review saw reasonable weather conditions; a particularly wet period from September to December which gave way to very dry and often cold weather from January to March 2012. The dry weather in the last quarter of the year, whilst normal and anticipated, contributed significantly to results..
Profit from operating activities increased from last year's KShs 63.5 millions toShs 73.6 millions .
Fair value gain on biological assets is not equivalent to cash realised from operations and therefore not distributable to the shareholders.

DIVIDEND

The Directors recommend a final dividend of KShs 7.50 (2011 - KShs 7.50) to be ratified at the forthcoming Annual General Meeting.
The final dividend if approved will accrue to those members on the register at close of business on 20 August 2012.
The register will remain closed from 21st to 29th August 2012 both days inclusive with the dividend being paid thereafter net of withholding tax as applicable

ANNUAL GENERAL MEETING

The Annual General Meeting of the Company will be held at the Nairobi Club, off Ngong Road, Nairobi on Wednesday, 22nd August 2012 at 10.00 a.m.

PROSPECTS

Whilst the weather conditions remain unpredictable, the global markets forces, foreign exchange fluctuations and the ever increasing costs of production will continue to affect the performance and profitability of the company in the forthcoming financial period.

G K MASAKI
COMPANY SECRETARY

The above extract is based on the Financial Statements of Kapchorua Tea Company Limited for the year ended 31 March 2012 as audited by Deloitte & Touche who have issued an unqualified report. The Financial Statements have been prepared in accordance with the International Financial Reporting Standards.

STATEMENT OF FINANCIAL POSITION

	31.03.2012	31.03.2011
	Kshs'000	Kshs'000
Capital and reserves		
Share Capital	19,560	19,560
Capital reserves	188,357	85,953
Revenue Reserves	925,718	870,884
Shareholders funds	1,133,635	976,397
Non current Liabilities		
Deferred Taxation	296,218	249,388
Employee benefit obligations	76,149	70,325
Borrowings & Finance lease	-	-
	372,367	319,713
	1,506,002	**1,296,110**
REPRESENTED BY		
Non current assets		
Property , Plant and Equipment	460,977	253,653
Prepaid Operating Lease Rentals	21,717	21,741
Intangible Assets	565	330
Investments	717	717
Biological Assets	726,731	717,820
	1,210,707	994,261
Current Assets		
Inventories	127,374	113,196
Trade and other receivables	427,509	277,585
Due from related companies	4,256	2,542
Tax recoverable	2,330	28,572
Short Term deposits	165,837	65,092
Bank & Cash	24,884	88,955
	752,190	575,942
Current Liabilities		
Trade and other payables	371,890	234,662
Due to related companies	85,005	34,716
Borrowings & finance leases	-	4,715
Taxation	-	-
	456,895	274,093
	1,506,002	**1,296,110**

STATEMENT OF CASH FLOWS

	31.03.2012	31.03.2011
	Kshs'000	Kshs'000
Operating activities		
Cash generated from operations	160,104	226,945
Interest paid	(415)	(991)
Interest received	7774	1546
Tax Paid	(8,082)	(107,281)
	159,381	**120,219**
Investing activities		
Purchase of Plant and equipment	(85,731)	(22,312)
Purchase of intangible assets - computer software	(348)	(400)
Proceeds from disposal of Plant and Equipment	-	2,784
Dividends received	3	679
Expenditure on biological assets	(2,757)	(7,429)
	(88,833)	**(26,678)**
Financing activities		
Loans repaid	(988)	(989)
Net finance lease obligations	(3,727)	(3,721)
Dividends paid	(29,159)	(29,340)
	(33,874)	**(34,050)**
Increase in cash and cash equivalents	**36,674**	**59,491**
Movement in cash and cash equivalents		
At 1 April	154,047	94,556
Increase	36,674	59,491
At 31 March	**190,721**	**154,047**
Cash and Bank balances	**24,884**	**65,092**
Short term deposits	**165,837**	**88,955**
	190,721	**154,047**